Dr. **Stock account** **Cr.**

Date	Particulars	J.F.	₹	Date	Particulars	J.F.	₹
2017 Jan 1	To Balance b/d		50,000				

Dr. **Sohan account** **Cr.**

Date	Particulars	J.F.	₹	Date	Particulars	J.F.	₹
2017 Jan 1	To Balance b/d		35,000				

Dr. **Furniture account** **Cr.**

Date	Particulars	J.F.	₹	Date	Particulars	J.F.	₹
2017 Jan 1	To Balance b/d		50,000				

Dr. **Ram account** **Cr.**

Date	Particulars	J.F.	₹	Date	Particulars	J.F.	₹
				2017 Jan 1	By Balance b/d		20,000

Dr. **Joy's capital account** **Cr.**

Date	Particulars	J.F.	₹	Date	Particulars	J.F.	₹
				2017 Jan 1	By Balance b/d		1,60,000

4.5.2 Posting of compound journal entry

When a journal entry has more than one debit or more than one credit or both, it is called a compound entry. For items debited in the compound entry, entries are made on the debit side in the respective accounts with the respective amount debited. For items credited in the compound entry, entries are made on the credit side in the respective accounts with the respective amount credited. Posting of such entries to ledger accounts is explained in illustration 3.

Illustration 3

Journalise the following transactions and post them to ledger. On May 20, 2018, Ram paid salaries ₹ 15,000; Electricity charges ₹ 8,000 and wages ₹ 2,000.

Solution

In the books of Ram
Journal entries

Date	Particulars		L.F.	Debit ₹	Credit ₹
2018					
May 20	Salaries A/c	Dr.		15,000	
	Electricity charges A/c	Dr.		8,000	
	Wages A/c	Dr.		2,000	
	To Cash A/c				25,000
	(Expenses paid)				

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